

positive returns, while negative skewness implies greater variance of negative returns.

23. See Asness et al. (2013) and Moskowitz, Ooi, and Pedersen (2012).

CHAPTER 6

1. BlackRock (owner of iShares) and JPMorgan Chase have also switched over to the term “strategic beta.”
2. Morningstar found the alpha of PRF to be negative when using a multifactor framework incorporating size, value, momentum, and quality.
3. See <http://morningstar.com>.
4. At the CFA Institute Annual Conference in May 2014, Nobel laureate William Sharpe remarked, “When I hear smart beta, it makes me sick I don’t think it will work in the future.”
5. See Haugen and Baker (1991).
6. See Chordia, Subrahmanyam, and Tong (2013), and McLean and Pontiff (2013).
7. Representative of these are Israel and Moskowitz (2013), Fama and French (2008), and Schwert (2002).
8. Warren Buffett has always favored highly profitable companies with low capital requirements, which is consistent with the factor loadings of this new Fama and French model.
9. Betas are 1.08 for momentum, 1.27 for value, and 1.26 for size. Residual volatilities are 7.60 for momentum, 11.05 for value, and 11.30 for size. Annual information ratios are 0.73 for momentum, 0.26 for value, and 0.19 for size.

CHAPTER 7

1. See “2014 Quantitative Analysis of Investor Behavior,” Dalbar, Inc.